Three Easy Assumptions About Medicaid When You're Planning Ahead for Mom

What each one looks like, why it happens, and the habit that helps with each.

Mom is managing, and Medicaid is only a subject that comes up now and then. When it does, most families lean on the same three assumptions. None of them is a failing. Each is what people do when nobody has given them the facts, and the same habit helps with all three.

1 Assuming Mom has too much money to qualify

WHAT IT LOOKS LIKE "Mom has too much for Medicaid." Somebody says it every time the subject comes up, nobody remembers where they heard it, and the conversation ends there.

WHY IT HAPPENS It sounds like common sense. Medicaid is for people with low income and assets, and Mom has a house and some savings. But the Administration for Community Living explains that a state counts some assets and excludes others, that many assets aren't counted at all, and that the amount a person can have varies from state to state. A family's own total can't settle the question in either direction. [1] [2]

> **WHAT TO DO INSTEAD** Write the belief down, with where it came from, and beside it what you'd need to confirm. Then list what Mom has by name, without sorting or totaling it. Bring both to your Medicaid planner, who reviews how her picture compares with the rules in her state. Until then it's an open question, not a yes and not a no.

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2 Not knowing what Medicaid looks at, on the money side or the care side

WHAT IT LOOKS LIKE The family talks only about the bank balance. Nobody mentions how Mom is managing day to day, where she lives or whose name is on what, because nobody has said those are part of it.

WHY IT HAPPENS Nobody hands a family the list, so the blanks get filled in with what a friend or a coworker went through. The requirements are of more than one kind: the Administration for Community Living describes general and financial requirements, and then functional requirements, meaning care needs, for long-term care services. And the rules vary from state to state. [1] [2]

> **WHAT TO DO INSTEAD** You don't need to learn the rules. Learn the areas: care needs, income, assets, the home, a spouse, and what has changed hands. Write a few dated lines about Mom under each one and leave the blanks showing. Which rules apply to each area is the professional's part.

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3 Holding back because something in your situation might be a problem

WHAT IT LOOKS LIKE Some time ago Mom helped your brother with a down payment, or your name went on her checking account so you could pay her bills. Since then nobody has wanted to bring up Medicaid at all, in case it turns out to matter.

WHY IT HAPPENS Asking feels riskier than not knowing, so the subject gets put away. Your family is in ordinary company. Justice in Aging, a national nonprofit, reports that many older adults delay applying for Medicaid help at home out of fear of what it could mean for their home or their family. [3]

> **WHAT TO DO INSTEAD** Write down what happened: what it was, roughly when, who was involved, and what paper exists. Don't decide whether it's a problem, and don't change or undo anything. If Mom ever applies, a state may ask whether assets were given away, so a plain record is useful whatever the answer turns out to be. Take it to your Medicaid planner, and the legal side of it to an elder law attorney. Whether it matters depends on the state and the details. [4]

The one habit behind all three

Write down what you believe, what you know and what has happened, each with where it came from and the date. Leave what it means to someone who knows Mom's state.

What this guide doesn't do

It doesn't tell you whether Mom would qualify, what a state would count, or whether anything in her history matters. It isn't legal, financial or tax advice. It names three assumptions, which are the same three the Medicaid Planning Roadmap sees at this step, and a habit for each.

Ready for the next step?

You know which assumptions to set aside until someone who knows Mom's state has looked. The planning interview builds on what you've written down in their place: it asks about your family's situation one part at a time and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

The general statements about what a state counts, the kinds of requirements, why some people delay applying and what a state asks about come from the sources below. The three assumptions and the habits are the Medicaid Planning Roadmap's own.

1. Administration for Community Living (LongTermCare information), Medicaid Eligibility
2. Administration for Community Living (LongTermCare information), Medicaid
3. Justice in Aging, Medicaid Home and Community-Based Services for Older Adults: A Primer
4. Administration for Community Living (LongTermCare information), Applying for Medicaid

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